

Problem 1

Number of Advertisements: [1 2 3 4 5 6]

Monthly Sales: [3 5 7 10 12 14]

Part a

Custom Linear Regression Results

Slope: 2.2571

Y-Intercept: 0.6000

Scikit Learn Linear Regression Results

Slope: 2.2571

Y-Intercept: 0.6000

Part b

Sales Predicitons

4 Months: 9.63

8 Months: 18.66

Part c

SST: 89.5000

SSR: 89.1571

SSE: 0.3429

R^2 : 0.9962

Problem 2

	Recovery_Time	Treatment	Gender
0	10	Placebo	Male
1	8	Drug	Female
2	15	Placebo	Female
3	12	Drug	Male
4	7	Drug	Male
5	14	Placebo	Female
6	9	Drug	Female
7	11	Placebo	Male
8	6	Drug	Female
9	13	Placebo	Male

Part a

	Recovery_Time	Treatment_Placebo	Gender_Male
0	10	1	1
1	8	0	0
2	15	1	0
3	12	0	1
4	7	0	1
5	14	1	0
6	9	0	0
7	11	1	1
8	6	0	0
9	13	1	1

Scikit Learn Multi Linear Regression Results

Equation: $4.3333x_1 + -0.6667x_2 + 8.6667$

Part b

The coefficients represent the magnitude of the slope and the amount of influence the Treatment or Gender has on the recovery time. More specifically, the bigger the magnitude, the more influence it has on the recovery time of the patient, in days.

Part c

Recovery Time (Days) Predicitons

Female Patient who Recieved the Drug: 8.6667

Male Patient who Recieved the Drug: 8.0000

Problem 3

	Price	Size	Bedrooms	Age	Distance_to_City_Center
0	245.72	1896.84	2	10	25.92
1	349.87	1773.19	4	3	24.82
2	314.15	2134.47	6	38	27.39
3	224.69	2980.16	6	34	4.73
4	271.07	3601.46	3	6	3.37

Part a

OLS Regression Results

Dep. Variable:	Price	R-squared:	0.151
Model:	OLS	Adj. R-squared:	0.075
Method:	Least Squares	F-statistic:	2.000
Date:	Sat, 14 Feb 2026	Prob (F-statistic):	0.111
Time:	09:36:17	Log-Likelihood:	-271.14
No. Observations:	50	AIC:	552.3
Df Residuals:	45	BIC:	561.8
Df Model:	4		
Covariance Type:	nonrobust		

	coef	std err	t	P> t	[0.025	0.975]
Size	-0.0113	0.010	-1.131	0.264	-0.031	0.009
Bedrooms	-6.4154	7.170	-0.895	0.376	-20.857	8.026
Age	1.2287	0.575	2.136	0.038	0.070	2.387
Distance_to_City_Center	0.7193	1.084	0.663	0.510	-1.465	2.903
const	313.8006	50.456	6.219	0.000	212.178	415.423

Omnibus:	1.423	Durbin-Watson:	2.077
Prob(Omnibus):	0.491	Jarque-Bera (JB):	1.057
Skew:	-0.015	Prob(JB):	0.590
Kurtosis:	2.288	Cond. No.	1.55e+04

Notes:

[1] Standard Errors assume that the covariance matrix of the errors is correctly specified.

[2] The condition number is large, 1.55e+04. This might indicate that there are strong multicollinearity or other numerical problems.

Part b

Based on the p-values in the summary table, the only variable that significantly impacts the house price is Age. This is because Age has a p-value of 0.038, which is less than the significance level of 0.05. All other variables (Size, Bedrooms, Distance) have p-values greater than 0.05, meaning they are not statistically significant.

Part c

House Sales Prediction

Parameters: Size; 2500ft, Bedrooms; 4, Age; 20 years, Distance to City Center; 10 miles

Cost: \$291.7429